Bhatia Communications & Retail (India) Ltd

Concall-Tracker report · BSE: 540956 · trades as "Bhatia Mobile" · Q2 FY27 (quarter to 30 Sep 2026) · prepared 11 Nov 2026 · no concall transcripts, global web deep-dive · builds on the Q1-2027 report

1. Snapshot

What it does: a Surat chain of phone and electronics shops (Bhatia Mobile, Only Mobile, Mobile Station) across Gujarat, Maharashtra and Madhya Pradesh. It buys phones, TVs, ACs, laptops and washing machines from brands and sells them to walk-in shoppers, mostly in smaller towns. It makes a few paise on each rupee, so profit comes from more shops and more sales per shop.

Figure	Value	Plain read
Market cap	₹534 cr (price ₹38)	What the whole company is worth. Near its one-year high of ₹42, up from ₹445 cr at the last report.
Price to earnings	22.5x	About the same multiple as last quarter: the price rose with profit, not ahead of it.
Q2 FY27 sales	₹203.7 cr, up 52%	A new record, up about 7% on the June quarter too.
Q2 FY27 operating profit	₹11.6 cr, margin 5.69%	A second record margin in a row (5.34% in June). Against a 3.5-5% band in earlier years, that's a real step up for a shop chain.
Q2 FY27 net profit	₹7.5 cr, about double a year ago	First-half profit ₹14.3 cr is already most of FY26's ₹17 cr.
Borrowings	₹44 cr at Sep 2026 (₹10 cr in March)	New since the last report. The rollout is now partly paid for with debt; debt to equity is about 0.3, still low but no longer near zero.
Return on capital	ROCE 21%, ROE 15%	Steady at the levels of recent years.
Cash from operations (FY26)	₹2 cr on ₹25 cr operating profit	Still the weak spot. Stocking new shops eats nearly all the profit.

2. Concall coverage

No concall transcripts were available on Screener. This report is based on a global web deep-dive. Screener lists investor-call entries going back to 2018, but no transcript for any of them, and none was found for the September quarter either.

Period	Source	Status
FY23 to Q1 FY27	Results, filings, coverage	Carried forward from the Q1-2027 report (31 Aug 2026)
Q1 FY27 (results 14 Aug 2026)	Results and coverage	Boundary of the last report
Q2 FY27 ★ (results 2 Nov 2026)	Results, Outlook Business, Univest coverage, Screener half-year balance sheet	Newly read in full

Only the new quarter was read in full; the backstory comes from the prior report. Other sources: DSIJ company profile (Feb 2026), warrant conversion filings (Mar 2026), Screener.in shareholding.

Latest update highlights: Q2 FY27 results (2 Nov 2026)

- Sales ₹203.7 cr, up 52%; profit ₹7.5 cr, up about 101%. Half-year sales ₹393.7 cr, profit ₹14.3 cr.
- Operating margin 5.69%, the best on record for the second quarter running. The shift from phones to TVs, ACs and appliances looks to be holding.
- Borrowings rose from ₹10 cr to ₹44 cr in six months, and ₹22 cr of investments appeared on the balance sheet with no public explanation. Depreciation and interest both rose, as new shops do.
- A second interim dividend of one paisa a share. No store count, guidance or commentary was published with the results.

Business mix & capacity

Domestic vs export: 100% domestic and regional: Gujarat (home base), Maharashtra (36 stores in Feb 2026) and Madhya Pradesh. No exports.

"Capacity" (stores): 291 stores at December 2025. Coverage of the June quarter gives 363 (360 owned, 3 franchised); the last report's 380-plus figure isn't confirmed by a filing. No September count was published. A store costs about ₹8-10 lakh to fit out plus ₹33-35 lakh of stock, with a payback the company puts at about a year.

2d. Since our last report ★

Builds on the Q1-2027 report (results of 14 Aug 2026). Prior verdicts: trigger **YES**, consistency **MAYBE**.

Prior read	What we said then	What the new quarter shows	Movement
Trigger (YES)	Store rollout plus richer product mix is working	Sales up 52%, a second record margin	Confirmed
Consistency (MAYBE)	Good record, but no transcripts or store metrics	Still no transcripts, no store count this time	Unchanged
Margin from mix shift	5.34% record; needs to hold	5.69%	Improving
Self-funded rollout	Debt near zero	Borrowings up from ₹10 cr to ₹44 cr	Slipping
Cash and inventory	Stock build eats the profit	Debt rise suggests stock is still being funded faster than profit comes in	Slipping
Promoter holding	Fell from 73.88% to 69.45%	Steady at 69.45%	On-track

The last report had no checkpoint box. Scoring its promises to watch, in the order above: **Checkpoint results: Delivered | Missed | Partly** (margin held and rose; the debt-free rollout slipped; cash still tight but profit growth helps).

Verdict change: both verdicts unchanged. The trigger is stronger in the numbers; the new borrowing and missing store count keep consistency at Maybe.

3. Earning trigger thesis ★

Same driver as last time and it's still working: open more shops in western India's smaller towns and turn phone counters into full electronics stores. Sales have grown about half for two quarters and the margin has set two records in a row, which is what you'd expect when TVs and ACs take a bigger share of each bill. The new worry is money. Six months ago the rollout ran on its own cash; now it's borrowing, and some ₹22 cr went into investments nobody has explained.

Trigger	What the record shows	Evidence so far	Horizon	Strength	Change since last report
Store rollout	291 to about 363 stores in six months to June	Sales up 52%	Live	Strong	Unchanged: growth held, but no new count
Product mix shift	Phones to TVs, ACs, appliances	Margin 5.69%, a record	Ongoing	Strong	↑ Improving: second record
Beyond Gujarat	Maharashtra and Madhya Pradesh	No state split disclosed	FY27-FY29	Moderate	Unchanged
Cash-paying, low-debt model	Customers pay at the till	Borrowings up to ₹44 cr	Structural	Moderate	↓ Weakening: rollout now partly on debt
Online and big chains (risk)	Bet that small-town shoppers still walk in	Holding so far	Structural	Risk	Unchanged

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Borrowings rose.
New business	No	Product widening is ongoing, not new this quarter.
Margin up	Yes	Strategy of converting stores into multi-product outlets (company profile, Feb 2026); margin at a record 5.69% (results, 2 Nov 2026).
New management	No	None reported.
New capacity	Yes	Store count up from 291 (Dec 2025) to about 363 (June 2026) after the "90 stores in 90 days" push (May 2026).
Big orders	No	Not relevant to a shop chain.
Turnaround	No	Already profitable.
Promoter buying	No	Promoter family converted warrants in March 2026, but holding is flat since June.

Single concrete driver: opening shops across Gujarat, Maharashtra and Madhya Pradesh and selling more TVs, ACs and appliances through them, not just phones.

3c. Margin bridge

Operating margin is 5.69% against 4.17% a year ago. The likeliest cause is the richer mix of larger appliances, plus scale over fixed costs. Two quarters in a row at a record level points to a real shift, though there's no management word on it (lasting).

4. Management consistency scorecard

Still limited: no transcripts exist, so this grades filings and numbers only.

Period	What was signalled	What happened	Verdict

FY23 to FY26	Grow the network and sales every year	Sales ₹342 cr to ₹591 cr, up every year	Delivered
FY26	"90 stores in 90 days"	Count rose from 291 to about 363	Delivered
Ongoing	Multi-product stores	Record margin twice running	Delivered
FY25 to Q1 FY27	Grow without debt	Borrowings ₹44 cr at Sep 2026	Missed
Ongoing	Disclosure	No transcript, and no store count with Q2 results	Gap

Narrative drift: none in the business. It does the same thing every quarter and does it well. What changed is the funding and what's disclosed: a debt-funded push and an unexplained investment, with even the store count missing this time.

5. Bottom line

Durable earning trigger? → YES vs last quarter: unchanged

Nothing new moved this down. Another quarter of about half-again sales and a second record margin shows the shop rollout and the TV and AC mix are real and still running. The thin margin and the online threat haven't gone away, and the rollout now leans on borrowing.

Management consistent? → MAYBE vs last quarter: unchanged

The new borrowing is what stops an upgrade. The operating record is good, but the rollout is no longer self-funded, ₹22 cr of investments is unexplained, and there's still no transcript, store count or same-store figure to check claims against.

6. Checkpoints for next quarter

- Operating margin holds above five percent
- Borrowings stop rising
- Company publishes an updated store count

Sources: Q2 FY27 results coverage (Outlook Business, 3 Nov 2026; Univest, 4 Nov 2026); Arthneeti and Askfuzz Q1 FY27 summaries; DSIJ profile (20 Feb 2026); warrant conversion coverage (Lokmat, DSIJ, Mar 2026); Screener.in financials and shareholding; prior Q1-2027 concall-tracker report. Not investment advice. Do your own due diligence.